BlackHawk Capital

Tactical Equity Allocation · Asset Management Challenge 2026 · Round 2

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Closing prices of 6 November 2026 · Bloomberg holdings of 7 November 2026

1 Investment decision

We keep the Round 1 Strategic Asset Allocation (SAA) unchanged as our benchmark and deviate from it with four stocks: Verizon, Canadian National Railway, Sanofi and KBR. We funded them by selling the same proportion of each of the eight ETFs, so the passive part of the fund keeps exactly the Round 1 mix. The stocks represent 14.60% of capital, USD 14.3 million of a USD 98.16 million fund.[1][5]

Each position starts from a fundamental valuation, which we turn into an annual alpha and a catalyst expected before the end of December. Weights follow Treynor-Black, proportional to alpha over residual variance against the SAA. We sized the sleeve so that the ex-ante tracking error against the SAA is 2.00% a year, the lower end of the 2-5% budget, on the latest 60 monthly USD returns as in Round 1.[1][2][22]

Table 1. The four stocks added to the fund

Stock	Price 6 Nov	Intrinsic value	Margin of safety	Annual alpha	Weight in fund
Verizon (VZ US)	USD 45.69	48.24	5.58%	0.34%	0.11%
Canadian National (CNR CN)	CAD 175.21	198.54	13.32%	14.61%	6.32%
Sanofi (SAN FP)	EUR 83.74	90.81	8.44%	9.20%	2.97%
KBR (KBR US)	USD 37.17	45.62	22.74%	24.72%	5.20%

Source: FactSet closes of 6 November 2026; BlackHawk Capital valuation. Prices and values in local currency; alpha is annual and model-based. [6][7] [22]

Table 2. Ex-ante risk of the new portfolio and of the unchanged SAA

Measure	Unchanged SAA	Portfolio after Round 2
Annual volatility	8.54%	8.88%
One-month 5% VaR (normal)	4.05%	4.22%
One-month 5% VaR in USD	USD 3.98 m	USD 4.14 m
Ex-ante tracking error vs SAA	0.00%	2.00%
Beta of the active sleeve vs SAA	1.00	1.11

Source: BlackHawk Capital, 60 monthly USD total returns, Nov 2021 - Oct 2026; actual holdings of 7 November. Normal one-month VaR = 1.645 x monthly volatility. [22]

The deviation adds little total risk: volatility rises from 8.54% to 8.88%, because most of the tracking error comes from stock-specific moves that our alphas are meant to reward. The 8% volatility target applies to the SAA, not to the new portfolio.[1]

Round 1 so far. From 16 October to 6 November the fund returned -1.72%, with realized volatility of 7.23% against the 8% target; commodities and emerging markets detracted, Treasuries helped (Section 2).

Limits we accept. Three of the four alphas assume that the price converges to our valuation within a year, and the model information ratio is above what the course considers credible. This is why we hold the smallest deviation the budget allows (Section 4).

Reading guide: 2 Round 1 performance; 3 method; 4 Checkpoint 1 (alphas); 5-8 valuation dossiers (Checkpoint 2); 9 risk; 10 portfolio description, trades and sources.

2 Performance of Round 1

The Round 1 portfolio went live at the closes of 16 October 2026. To Friday 6 November, the last close before the Round 2 changes, Bloomberg PORT reports a total return of -1.72%, against +0.22% for its cash benchmark. We rebuilt the 15 daily returns from the cumulative PORT series and computed volatility and Sharpe ratio ourselves.[5][22]

Table 3. Realized performance

Measure	16 Oct - 6 Nov
Cumulative total return	-1.72%
Cash benchmark return (PORT)	+0.22%
Return relative to cash	-1.93 pp
Realized volatility, annualized	7.23%
SAA volatility target	8.00%
Sharpe ratio, annualized	-4.49
Daily observations	15

Source: BlackHawk Capital, own calculations and compilation. Bloomberg PORT. [5][22]

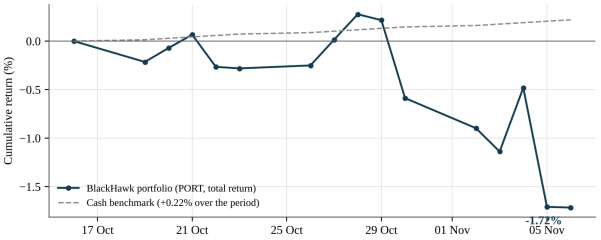


Figure 1. Cumulative return of the fund

Source: Bloomberg PORT; BlackHawk Capital chart. [5]

Realized volatility of 7.23% is below the 8% SAA target and inside the 7-9% band. The Sharpe ratio is -4.49 (cash return spread evenly over the period) or -3.98 with a zero risk-free rate. Annualizing three weeks turns a small loss into a very large negative ratio, and one day (5 November, -1.23%) moves it substantially; volatility is the more informative statistic over such a window.[22]

Performance attribution

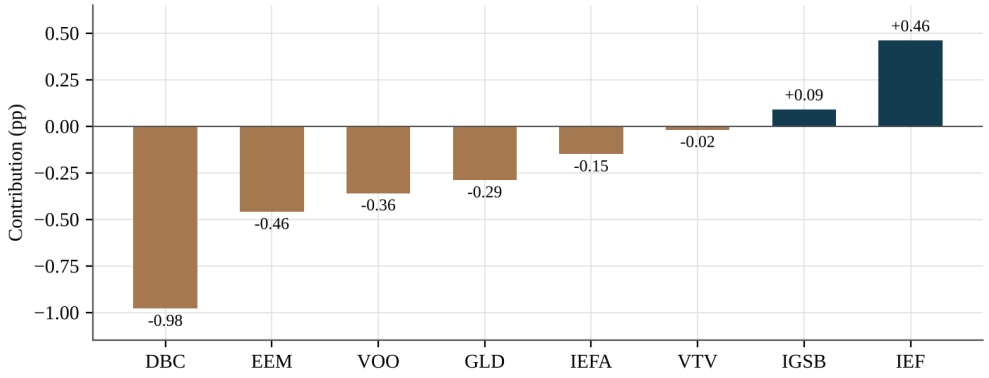


Figure 2. Contribution to return by position (percentage points)

Source: Bloomberg PORT attribution; BlackHawk Capital chart. The exact total is -1.7152%. [5]

Commodities were the largest detractor: DBC fell 6.52% and took 0.98 points off the fund. Emerging markets (EEM, -5.60%, -0.46 points) and the S&P 500 (VOO, -3.65%, -0.36) followed, with gold (GLD, -0.29) and developed markets (IEFA, -0.15) also negative. Treasury duration did its job: IEF gained 1.94% and added 0.46 points, short credit (IGSB) 0.09. The pattern matches the risks we named in Round 1, a commodity reversal after the 2026 rally and weakness in technology-heavy emerging markets, and the bond sleeve cushioned it. Three weeks are too short to judge a strategic allocation, and we do not change it.[4][5]

Fund value. USD 100 million compounded at -1.7152% gives USD 98,284,800; the PRTU holdings plus cash are USD 98,159,485. Most of the USD 125,315 gap is the IEF and IGSB distributions that went ex-dividend on 2 November (USD 130,495 in total), included in PORT's total return but not in the holdings screen; about USD 4,100 in the other direction comes from the cash recorded after rebalancing. Weights use PRTU market values; performance uses PORT.[5][22]

3 Selection and valuation method

The task. Round 2 asks us to sell part of the SAA and buy stocks, long only, with an ex-ante tracking error of 2-5% against the SAA and catalysts expected before the end of December. We follow the discretionary process of Class 5 and the Treynor-Black model of Class 3, with the SAA as the passive portfolio.[1][2][3]

From 48 names to four. The team's register held 48 companies across the US, Canada, Europe and Asia. A first screen removed names without a margin of safety, without reliable data or without a visible catalyst; eight were valued in full and four retained. Over the last five years all four have lagged the SAA (+46.5%): Verizon +16.5%, Sanofi +10.0%, CNR +3.8%, KBR -3.3%. That is not a reason to buy, and it can signal a value trap, which each dossier checks.[6][22]

Table 4. Fully valued candidates that were not selected

Candidate	Why not selected
Ahold Delhaize	Dividend value close to price, carry alpha about 0.3%; results inside our 2-8 Nov exclusion week
Imperial Brands	Removed by the team after a broker downgrade
BNP Paribas	Sudan litigation a two-sided event with no confirmed date; higher unit tracking error than Sanofi
CooperCompanies	Removed from the research queue on 4 November

Source: BlackHawk Capital, own calculations and compilation. Candidate register, 3-5 November 2026. [22]

Cost of equity. Each company is discounted at its local CAPM cost of equity: the 10-year government yield plus an adjusted (Blume) beta against the local index times a 6.114% equity risk premium. This valuation beta is separate from the beta against our SAA used for portfolio risk (Section 4).[2][7]

Table 5. Cost of equity inputs

Stock	Currency	10-year yield	Market index	Adjusted beta	ERP	Cost of equity k
VZ	USD	4.92%	S&P 500	0.507	6.114%	8.02%
CNR	CAD	3.80%	S&P/TSX	0.970	6.114%	9.73%
SAN	EUR	4.97%	CAC 40	0.646	6.114%	8.92%
KBR	USD	4.92%	S&P 500 (SPY)	0.614	6.114%	8.67%

Source: Bloomberg BETA screens and yield snapshots, 3-5 November 2026. Adjusted beta = 0.67 x raw + 0.33. Local-index R^2: VZ 0.03, SAN 0.11, KBR 0.07, CNR 0.42. [7][22]

Method by company. Verizon pays a large, stable dividend, so a dividend discount model with explicit forecasts fits. For the other three, dividends capture only part of what shareholders receive (buybacks, reinvestment, a spin-off), so we use 2027 P/E multiples of close listed peers on 2027 consensus EPS.[2]

Table 6. Valuation methods

Stock	Main method	Cross-check	Methods not used, and why
Verizon	Dividend discount: 3 explicit years + 2% terminal growth	Peer P/E: USD 50.94	DCF: needs capex and spectrum forecasts
Canadian National	2027 P/E, mean of 4 rail peers (22.09x)	Dividend model: CAD 63.58	EV/EBITDA: leases, pensions, net debt not aligned
Sanofi	2027 P/E, lowest of 6 pharma peers (9.86x)	Dividend model: EUR 73.15	Pipeline DCF: needs drug-level probabilities
KBR	2027 P/E, lowest of 5 peers (11.32x)	None reliable (EV bridge fails)	Sum of the parts: standalone costs unknown

Source: BlackHawk Capital, own calculations and compilation. [22]

From value to alpha. For Verizon we use a *carry* alpha: the return r that prices the forecast dividends at today's price, minus k; no re-rating is assumed. For the others the *convergence* alpha is $\alpha = (1 + k)(V/P - 1)$, the annual return above k if the price reaches V within a year. Both are annual inputs for Treynor-Black, not returns expected by December. CAD and EUR alphas carry over to USD under flat expected exchange rates; historical USD returns used for risk include past currency moves.[2][22]

4 Checkpoint 1: the alphas and the weights

Table 7. Alphas, residual variances and Treynor-Black weights

Stock	Alpha α_i	Catalyst before 31 Dec	$\sigma^2(\varepsilon_i)$	$\alpha/\sigma^2(\varepsilon)$	Weight in active sleeve	IR_i
VZ	0.34%	Q4 dividend declaration (early Dec)	0.0360	0.09	0.77%	0.02
CNR	14.61%	UP-NS comment deadline 18 Nov; weekly volumes	0.0277	5.28	43.31%	0.88
SAN	9.20%	FDA action date 25 Nov (venglustat)	0.0371	2.48	20.32%	0.48
KBR	24.72%	Investor days 11-12 Nov	0.0569	4.34	35.61%	1.04

Source: BlackHawk Capital. Residual variances are annual, from 60 monthly USD excess returns regressed on the SAA, Nov 2021 - Oct 2026. [22]

Justification. Each alpha comes from a valuation and a catalyst, never from past returns. Verizon's 0.34% is pure carry: dividends slightly exceed its 8.02% cost of equity at USD 45.69. CNR's 14.61% assumes convergence to the average 2027 multiple of North American railways. Sanofi's 9.20% uses only the cheapest peer multiple. KBR's 24.72% applies the lowest peer multiple to flat 2027 earnings; it is the largest alpha and the most uncertain (Section 8).

Residual variances. We regress each stock's monthly USD excess return on the SAA's: $R_i - r_f = a_i + \beta_{i,S}(R_S - r_f) + \varepsilon_i$. Betas against the SAA are 1.33 (VZ), 1.51 (CNR), 1.08 (SAN) and 0.63 (KBR), high because the SAA itself has only 8.5% volatility; R^2 of 0.05-0.37 shows that most of each stock's risk is specific. The intercepts (-4% to -7% a year) are historical averages, not alphas.[22]

Weights. $w_i = (\alpha_i/\sigma^2(\varepsilon_i)) / \Sigma_j(\alpha_j/\sigma^2(\varepsilon_j))$, with zero weight for a negative alpha. All four alphas are positive, giving CNR 43.3%, KBR 35.6%, Sanofi 20.3% and Verizon 0.8% of the active sleeve.

Sizing. With the composition fixed, $TE = w_A \times sd(R_A - R_S)\sqrt{12} = w_A \times 13.71\%$, so the 2% floor needs $w_A = 14.59\%$. The lecture's clipped size at 4% TE would be 29.2%; we chose the floor because our alphas are uncertain.[2][22]

Fundamental Law and Sharpe ratio. With independent residuals $IR_A^2 = \Sigma\, IR_i^2$, so $IR_A = 1.44$; with the measured residual covariance, 1.24. The SAA's expected Sharpe ratio on its 60-month history is 0.48, and the optimal combination would reach $\sqrt{(0.48^2 + 1.44^2)} = 1.52$, but it needs 276% of capital in the active portfolio, impossible long only. At our 14.6% sleeve the expected Sharpe ratio is 0.75, +0.27 over the SAA, from 2.48% a year of expected alpha contribution.[22]

Credibility. Limited, and we say so. An IR of 1.2-1.4 is about twice the 0.50-0.64 range the course treats as realistic. The alphas assume full one-year convergence and the bets are not independent: CNR and KBR have a residual correlation of 0.27, Sanofi and KBR 0.17. If half of each alpha is realized, IR falls to 0.62 and the expected Sharpe ratio to 0.61, with unchanged weights. Even at 40% of the model alpha, where the IR enters the credible range, the expected Sharpe ratio (0.58) remains above the SAA's. This is the case for a small, diversified deviation rather than a large one.[2][22]

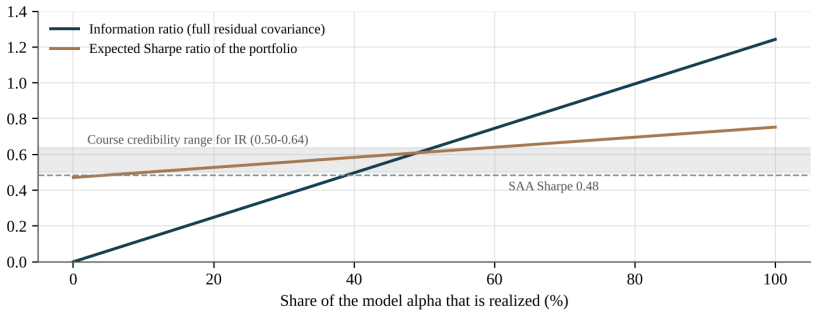


Figure 3. Information ratio and expected Sharpe ratio against the share of model alpha realized

Source: BlackHawk Capital calculations. [22]

5 Verizon Communications - VZ US Equity

US telecom, USD. Dossiers 5-8 form Checkpoint 2: method, value and margin of safety, value-trap check against own 2020-24 history and the same valuation peers (flag = worse than both), catalyst. We found no activist campaign at any of the four companies in the sources we reviewed.

Valuation

Verizon is a mature, cash-generative business with a long dividend record, so a dividend discount model is informative. We use consensus dividends for 2027-2029 (USD 2.8825, 2.9525, 3.0225; about 2.4% growth from the USD 2.8125 trailing dividend) and 2% terminal growth. With k = 4.92% + 0.507 × 6.114% = 8.02%:

$$V = \Sigma_{t=1..3}\, D_t/(1+k)^t + D_3(1+g)/[(k-g)(1+k)^3] = \text{USD } 48.24$$

Against USD 45.69 the margin of safety is 5.6%. The dividends imply a return of 8.35% at today's price, so the carry alpha is 0.34%. A peer check (2027 EPS of 5.31 at the 9.59x average of AT&T and T-Mobile) gives USD 50.94. A full DCF would need capex and spectrum forecasts we cannot source reliably; a single-stage Gordon model would ignore the explicit dividend path. The terminal value is about 84% of the total, hence the sensitivity table.[7][22]

Table 8. Verizon: value-trap check

Metric	FY2025	Own 2020-24 mean	Peer median	Worse than both?
ROE	16.2%	21.1%	19.2%	Yes
FCF margin	14.2%	5.1%	16.5%	No
Revenue growth	2.5%	0.5%	5.6%	No
Gross margin	45.8%	45.9%	45.3%	No
Debt / equity	171.8%	195.2%	175.0%	No
Payout / FCF	58.4%	75.2%	83.6%	No

Source: FactSet; peers AT&T, T-Mobile US. Payout includes buybacks. [8]

Table 9. Verizon: value under different g and k

Terminal growth	k - 1pp	Base k = 8.02%	k + 1pp
1%	USD 49.12	USD 42.11	USD 36.84
2%	USD 57.86	USD 48.24	USD 41.36
3%	USD 70.94	USD 56.82	USD 47.38

Source: BlackHawk Capital. [22]

Specific issues

ROE is the only double flag (16.2% against 21.1% historically and 19.2% for peers). Cash generation has improved strongly (FCF margin 14.2% against 5.1%), and dividends plus buybacks use 58% of free cash flow, a sustainable level. The risks are leverage (debt 1.7 times equity), heavy network and spectrum spending and price competition. On these numbers the dividend is not a value trap, but the growth it supports is modest, hence the small alpha and the 0.11% weight.[8]

Catalyst

On 26 October Verizon raised 2026 guidance: adjusted EPS growth of 7.0-7.5% (from 6-7%) and free cash flow growth approaching 12% (from 9-10%). The fourth-quarter dividend declaration, expected in early December on the usual calendar, confirms the payment our model discounts; the Ericsson network-automation rollout through year-end supports cash flow but has no quantified savings. Because we assume no re-rating, Verizon needs no price catalyst to earn its alpha; a weaker dividend outlook or a higher discount rate would remove it.[9][10]

6 Canadian National Railway - CNR CN Equity

Canadian freight rail, CAD valuation, USD portfolio risk.

Valuation

Railways are infrastructure businesses with few direct competitors, and the large North American railroads are close comparables. We apply the mean calendar-2027 P/E of Union Pacific (21.09x), CSX (21.79x), Canadian Pacific Kansas City (21.95x) and Norfolk Southern (23.51x) to CN's 2027 consensus EPS (CAD 7.63 in 2025, 8.21 expected for 2026, 8.99 for 2027):

$$V = 8.99 \times 22.085 = CAD\ 198.54;\ k = 3.80\% + 0.970 \times 6.114\% = 9.73\%$$

At CAD 175.21 (19.5 times 2027 earnings, a 12% discount to peers) the margin of safety is 13.3% and the convergence alpha 1.0973 × 13.3% = 14.61%. A dividend-only model gives just CAD 63.58 because CN returns much of its cash through buybacks and reinvests heavily; we read it as evidence that dividends are an incomplete measure here, not as a fair value. EV/EBITDA would need consistent treatment of leases, pensions and net debt across peers.[7] [22]

Table 10. CNR: value-trap check

Metric	FY2025	Own 2020-24 mean	Peer median	Worse than both?
ROE	21.9%	22.5%	20.2%	No
FCF margin	19.6%	23.2%	16.1%	No
Revenue growth	1.5%	3.0%	0.8%	No
Gross margin	44.9%	44.4%	37.5%	No
Debt / equity	98.3%	76.8%	131.2%	No
Payout / FCF	127.6%	129.5%	123.0%	No

Source: FactSet; same four rail peers. [8]

Table 11. CNR: alpha under lower 2027 EPS

EPS shock	EPS 2027	Value	Annual alpha
0%	8.990	198.54	14.61%
-10%	8.091	178.69	2.18%
-20%	7.192	158.84	-10.26%

Source: BlackHawk Capital. Multiple fixed at 22.085x; alpha turns negative about 12% below consensus. [22]

Specific issues

No metric is worse than both history and peers: margins and ROE stay above the peer median and leverage below it. The point to watch is capital return: dividends plus buybacks were 128% of free cash flow in 2025, similar to the past, so part of it is not covered by free cash flow. Management must balance buybacks, maintenance capex and service quality; the 2026 capital programme of about CAD 2.8 billion is on track. Growth is sustainable if volumes recover, but it depends on the industrial cycle.[8][11]

Catalyst

Q3 results (30 October): adjusted EPS CAD 2.16, +18%, and an adjusted operating ratio 40 basis points better at 61.0%; CN is tracking towards the upper end of its mid-to-high single-digit EPS growth outlook. Weekly carload and service data through November and December test this, and in December the market's reference year moves to 2027, the year our multiple applies to. In July CN agreed with Union Pacific to obtain operating rights between Memphis and the Eagle Pass gateway to Mexico; the agreement needs STB approval, and 18 November is the deadline for comments on the UP-Norfolk Southern merger. This is an indirect, longer-term element. CN's catalyst is therefore a sequence of operating data, weaker than a single dated event; weak traffic, a labour dispute or rising capex would undermine it.[11][12][13][14]

7 Sanofi - SAN FP Equity

French pharmaceuticals, EUR valuation, USD portfolio risk.

Valuation

Sanofi's value rests on earnings from a broad drug portfolio, best compared with large pharma peers. Consensus business EPS is EUR 9.21 for 2027 (7.83 in 2025, 8.82 expected for 2026). Peer 2027 P/Es are GSK 9.86x, Novartis 16.34x, Novo Nordisk 12.76x, AstraZeneca 16.43x, Roche 17.85x and Bayer 11.12x. The mean, 14.06x, would give EUR 129.49; we do not use it. We apply the lowest multiple, a deliberate discount for Sanofi's weaker profitability and payout:

$$V = 9.21 \times 9.86 = EUR\ 90.81;\ k = 4.97\% + 0.646 \times 6.114\% = 8.92\%$$

At EUR 83.74 (9.1 times 2027 earnings) the margin of safety is 8.4% and the convergence alpha 9.20%. A pipeline DCF would need drug-level probabilities and launch costs we do not have. A dividend-only model gives EUR 73.15, below the price; buybacks and the Opella separation limit what dividends capture, but it is a reason not to call Sanofi cheap without qualification.[7][22]

Table 12. Sanofi: value-trap check

Metric	FY2025	Own 2020-24 mean	Peer median	Worse than both?
ROE	7.3%	10.8%	33.3%	Yes
FCF margin	16.4%	17.8%	14.2%	No
Revenue growth	6.2%	3.0%	3.2%	No
Gross margin	65.7%	62.4%	74.1%	No
Debt / equity	28.5%	29.3%	87.4%	No
Payout / FCF	137.4%	71.2%	81.8%	Yes

Source: FactSet; same six pharma peers. [8]

Table 13. Sanofi: alpha under lower 2027 EPS

EPS shock	EPS 2027	Value	Annual alpha
0%	9.210	90.81	9.20%
-10%	8.289	81.73	-2.61%
-20%	7.368	72.65	-14.43%

Source: BlackHawk Capital. Multiple fixed at 9.86x; alpha turns negative about 8% below consensus. [22]

Specific issues

Two double flags: reported ROE (7.3%) and distributions at 137% of free cash flow in 2025. Reported earnings are depressed by the Opella separation and one-off items; trailing reported EPS of EUR 3.46 cannot be compared with forward business EPS of 9.21. Leverage is low (debt 28% of equity), leaving management room to keep funding research. The lowest-peer multiple prices these concerns instead of assuming convergence to the sector average.[8][16]

Catalyst

The FDA accepted venglustat for priority review in type 3 Gaucher disease with a target action date of 25 November 2026, and the Q3 filing confirms a US decision expected in the fourth quarter. Approval would remove one regulatory uncertainty in the rare-disease pipeline. Because our value uses the cheapest peer multiple it does not depend on that approval, which is not guaranteed: a delay, refusal or restrictive label are possible. The ASH haematology meeting on 12-15 December is a further, minor occasion for pipeline news.[15][16][17]

8 KBR Inc. - KBR US Equity

US government services and engineering, USD.

Valuation

KBR combines government technology services and sustainable-technology engineering and plans to spin off its government business as Trinzic. We value the whole company on 2027 P/Es of Leidos (11.32x), Booz Allen (13.11x), SAIC (13.16x), CACI (17.54x) and Fluor (14.13x), three of them interpolated from fiscal years, applying the lowest to 2027 consensus EPS of USD 4.03:

$$V = 4.03 \times 11.321 = \text{USD } 45.62;\ k = 4.92\% + 0.614 \times 6.114\% = 8.67\%$$

At USD 37.17 (9.2 times 2027 earnings) the margin of safety is 22.7% and the convergence alpha 24.72%. The EPS refers to KBR as it is today, so the value covers both companies that current shareholders will own after the spin-off. A sum of the parts would suit a separation, but the provider's enterprise-value bridge does not reconcile (by USD 478 million) and standalone costs are not yet published. KBR fell 6% in the two sessions before 6 November (from USD 39.64) without news we identified; at the 4 November price the alpha was 16.4%.[6][7][18][22]

Table 14. KBR: value-trap check

Metric	FY2025	Own 2020-24 mean	Peer median	Worse than both?
ROE	27.6%	3.2%	23.9%	No
FCF margin	6.6%	4.6%	8.2%	No
Revenue growth	1.0%	8.4%	-2.9%	No
Gross margin	14.8%	12.7%	14.9%	No
Debt / equity	172.7%	126.2%	109.8%	Yes
Payout / FCF	80.2%	66.6%	63.4%	Yes

Source: FactSet; SEC filings of the five peers. [8]

Table 15. KBR: alpha under lower 2027 EPS

EPS shock	EPS 2027	Value	Annual alpha
0%	4.030	45.62	24.72%
-10%	3.627	41.06	11.38%
-20%	3.224	36.50	-1.96%

Source: BlackHawk Capital. Multiple fixed at 11.32x; alpha turns negative about 19% below consensus. [22]

Specific issues

Two double flags, leverage (debt 173% of equity) and payout (80% of free cash flow in 2025), and consensus earnings are flat from 2026 to 2027. Operating cash flow fell about a third in the first nine months of 2026, and known headwinds include lower LNG joint-venture income in 2027, NASA insourcing and new standalone costs. These are value-trap warning signs: they are why we use the lowest peer multiple and show large earnings stresses. Management quality will be judged on the clarity of the separation plan.[8][18]

Catalyst

KBR holds its investor day on 11 November and Trinzic on 12 November, in New York with public webcasts, presenting standalone guidance, costs and capital allocation for both companies. The Trinzic Form 10 was filed on 30 September and the separation is expected on 4 January 2027, just outside our horizon. Clear guidance can narrow the discount; higher standalone costs or a lower earnings base would widen it, and we would then reduce the position at Round 3.[19][20]

9 Portfolio construction and ex-ante risk

Final weights are $w_{ETF} \times (1 - w_A)$ for each SAA ETF and $w_i \times w_A$ for each stock, with $w_A = 14.59\%$. We converted them into whole shares at the 6 November closes and entered them with PRTU on 7 November in the existing portfolio U33651819-1, so its history continues. Rounding moves each weight by less than 0.3 basis points; the stocks end at 14.60%.[1][5]

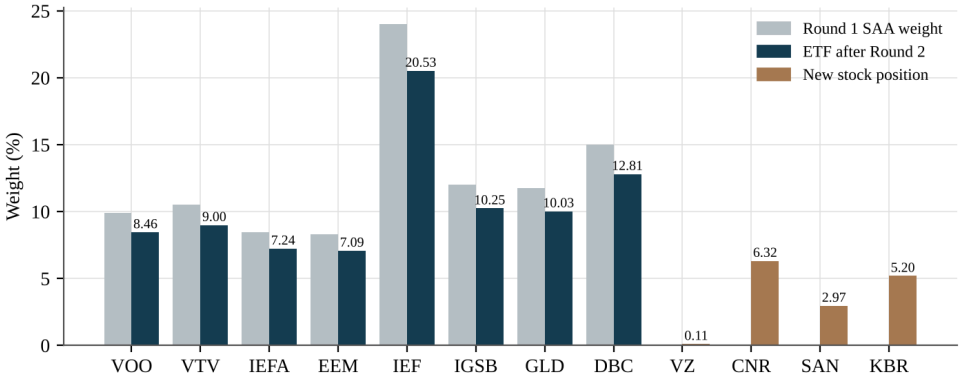


Figure 4. Weights before and after Round 2

Source: Bloomberg PRTU holdings, 7 November 2026; BlackHawk Capital chart. [5]

Risk uses the Round 1 convention: 60 monthly USD total returns (November 2021 - October 2026), annualized; cash earns nothing. The actual holdings have a tracking error of 2.0003% against the SAA, inside the 2-5% band, volatility of 8.88% (SAA 8.54%) and a one-month 5% VaR of 4.22% (SAA 4.05%), or USD 4.14 million. We recomputed these figures independently from the FactSet exports, as well as the alphas, weights and IR, with identical results.[1][22]

Table 16. Expected outcome with holdings fixed

Scenario (holdings fixed)	Expected alpha contribution	Expected Sharpe	vs SAA Sharpe 0.48
Adopted model alphas	2.48%	0.75	+0.27
All alphas halved	1.24%	0.61	+0.13
Only 50% of each valuation gap closes	1.13%	0.60	+0.12
2027 EPS 10% below consensus	0.65%	0.55	+0.06
Multiples stay at today's level	-0.23%	0.45	-0.04

Source: BlackHawk Capital, own calculations and compilation. Expected Sharpe ratios are model scenarios, not forecasts. [22]

The deviation keeps a positive expected contribution if half of the alphas fail or if earnings come in 10% below consensus; it turns slightly negative only if multiples do not move at all. The main risks are: alphas that are too high; KBR proving a value trap; a negative or delayed FDA decision; the shared US-cycle exposure of CNR and KBR; CAD and EUR exposure without hedging; and, above all, the 85% of the fund still in the SAA, whose commodity and equity-bond risks dominate the fund's return. At Round 3 (28-29 November) we will reduce or remove any position whose thesis is broken rather than reinterpret it.

Table 17. Events before the end of December

Date	Event	Stock	How firm
11 Nov	KBR Investor Day (New York, webcast)	KBR	Confirmed by issuer
12 Nov	Trinzic Investor Day (New York, webcast)	KBR	Confirmed by issuer
18 Nov	STB deadline for comments on the UP-NS merger application	CNR	Regulatory schedule; indirect for CN
25 Nov	FDA target action date, venglustat in GD3	SAN	Confirmed by issuer; can slip
28-29 Nov	AMC Round 3: portfolio can be changed again	All	Course calendar
Early Dec	Verizon board declares Q4 dividend (usual calendar)	VZ	Expected, not yet announced
12-15 Dec	ASH annual meeting, New Orleans	SAN	Confirmed; Sanofi content not known
Nov-Dec, weekly	CN weekly carloads and service metrics	CNR	Recurring disclosure
4 Jan 2027	Planned KBR / Trinzic separation	KBR	Outside the horizon

Source: issuer, STB, FDA and ASH announcements. [9][13][15][17][19]

10 Portfolio description and trades

Table 18. Complete portfolio after Round 2 and list of trades (Bloomberg PRTU U33651819-1)

Security	Ticker	ISIN	Ccy	Close 6 Nov	Round 1 shares	Trade	Shares now	Value USD	Weight
Vanguard S&P 500 ETF	VOO US	US9229083632	USD	675.99	14,123	-1,839	12,284	8,303,861	8.46%
Vanguard Value ETF	VTV US	US9229087443	USD	223.01	47,173	-7,571	39,602	8,831,642	9.00%
iShares Core MSCI EAFE ETF	IEFA US	US46432F8427	USD	94.80	87,735	-12,798	74,937	7,104,028	7.24%
iShares MSCI Emerging Markets ETF	EEM US	US4642872349	USD	59.33	132,047	-14,826	117,221	6,954,722	7.09%
iShares 7-10 Year Treasury Bond ETF	IEF US	US4642874402	USD	91.86	265,843	-46,443	219,400	20,154,084	20.53%
iShares 1-5 Year Inv. Grade Corporate Bond ETF	IGSB US	US4642886463	USD	51.57	233,439	-38,369	195,070	10,059,760	10.25%
SPDR Gold Shares	GLD US	US78463V1070	USD	372.52	30,755	-4,320	26,435	9,847,566	10.03%
Invesco DB Commodity Index Tracking Fund	DBC US	US46138B1035	USD	31.54	444,531	-45,841	398,690	12,574,683	12.81%
Verizon Communications	VZ US	US92343V1044	USD	45.69	0	+2,398	2,398	109,565	0.11%
Canadian National Railway	CNR CN	CA1363751027	CAD	175.21	0	+50,031	50,031	6,206,411	6.32%
Sanofi	SAN FP	FR0000120578	EUR	83.74	0	+31,194	31,194	2,911,281	2.97%
KBR Inc.	KBR US	US48242W1062	USD	37.17	0	+137,227	137,227	5,100,728	5.20%
USD cash	-	-	USD	-	-	-	-	1,156	0.00%
Total								**98,159,485**	**100.00%**

Source: Bloomberg PRTU holdings of 7 November 2026. Prices: Bloomberg closes of Friday 6 November 2026, local currency; USD values at 0.70801 USD/CAD and 1.11450 USD/EUR. Trade = shares now minus Round 1 shares (sell if negative). All positions long. [5]

Ex-ante tracking error against the SAA: 2.00% a year (volatility 8.88%, one-month 5% VaR 4.22%). We sold USD 14.32 million of ETFs, 14.6% of each line, and bought USD 14.33 million of stocks. Positions stay unchanged until Round 3 on 28-29 November. Calculations: *Round_2_Equity_Valuation_and_Alpha.ipynb*; conventions as in Round 1 (one-month T-bill for excess returns, Blume betas, calendar-2027 interpolation of fiscal-year P/Es).

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